

Siya, Strand 03 -- The Loan Beside the Portfolio

Stamp: STAMP -- taken from the one clock at seating, never typed by counsel

Language: EN

Style: New Gauge, Door setting -- Civic and TAME carried through, in plain words for Sara and Keaton

Voice: Kyri (Grain Kyri 6) -- Claude Fable 5, counsel to Siya Fund

Shape: single-stranded -- about one thing; the composed reading lives in [Siya,](#)
[composed](#)

Status: Living -- a foundation. Nothing here is investment, legal, or tax advice; nothing seats; every money move waits behind the gates in Strand 10 and the licensed team

Field only: names the family and household numbers; the seed projector withholds it

The one thing this strand holds: borrow shallowly against the shares rather than sell them, and let the shares' own return, the tax saved, and the late gift carry the cost.

What the loan is

A lender will let the family borrow against shares it keeps. The shares stay invested, the lender holds them as collateral, and the family draws cash when it needs it. The price is an interest rate made of two parts: an overnight benchmark that every lender shares, and a spread the lender adds. The benchmark stood at 3.66% on 2026-08-25 (the New York Fed). The spread is where the whole decision lives.

One more property matters before any number. This is a demand loan. The lender can ask for money back, or for more collateral, whenever the shares fall far enough. So the loan is safe only when it is shallow, and depth is the first thing to decide.

The rates today

Each figure is for a draw near USD 600,000 against USD 2.5 million, read in this week's loan memo. A discount broker's margin desk prices near 4.71% blended, from a published table; it negotiates nothing and sells shares automatically if the account crosses its line. The custodian's own line prices between about 5.2% and 6.7% depending on the spread negotiated, and it calls first and gives days. A large bank's

pledged line prices at 6.56% for a company borrower. A retail app prices at 4.50% and offers no account a company can open.

The gap between the cheapest and the dearest is about two percentage points, which is about USD 12,000 a year on USD 600,000. It is paid for in three currencies: automatic selling, no negotiation, and no company accounts. Counsel's lean is to take the discount broker's published number to the custodian's advisor and ask for the benchmark plus 2.0% or better, with the relationship discount asked for by name.

The honest test

A rule of thumb says borrowing beats selling when the loan's rate is lower than the tax rate on selling. That compares two different kinds of thing. A loan's rate is paid every year the loan is open. The tax is paid once, on the gain rather than on the whole sale. The test that survives is simpler and stricter.

Borrowing wins in any year the kept shares earn more than the loan costs. The tax saved by waiting is the cushion for the years they do not, and it is worth about half a percentage point over five years. The late gift from Strand 02, if the estate plan can earn it, makes the cushion permanent. Broad US shares have returned near 7% to 10% a year over most long windows, with a flat stretch about one decade in five. So the break-even is the loan rate, give or take half a point, and every point shaved off the spread lowers the bar.

How deep

Counsel's proposed bound is an opening draw at or under 25% of the portfolio, which is USD 625,000, and a standing ceiling of 30% that any later draw must fit under. The reason is a number. At a 24% draw, a bank line asks for money only after the shares fall 52% to 66%, depending on the lender's advance rate. The worst fall in living memory for broad US shares was about 57%, from October 2007 to March 2009. A 40% draw survives that only on the kindest row of the table, and lenders lower their advance rates during the very falls that matter.

The call plan is written before the first draw, and it names three responders in order. Monthly income first, which can retire a whole tranche in weeks. The highest-basis lots second, sold first because they cost least. Distributions from the first deals third.

Where the money may go

Bank lines carry a use restriction. Federal rules keep a non-purpose line from buying listed shares, and the banks' own contracts read wider, barring the purchase of securities. A share of a private company is a security, and so is a limited-partner interest in a real-estate syndicate. So one question goes to the custodian in writing: does this line permit proceeds to fund a private company's stock, and a limited-partner interest in a private real-estate offering? A yes keeps everything under one roof. A no routes those two uses to a margin desk and leaves the bank line for household, tax, and cash needs.

Three tranches, one line

Counsel leans to one line drawn in three named tranches, each landing in its own receiving account with its own ledger line. That is how the tax rules trace interest to its use, and it is how the family reads one statement. The tranches are the first venture check, repaid from income inside ninety days; the real-estate checks, carried until each property distributes; and a private-business stake, drawn only when a named deal reaches its gates.

Between deals, the line is the parking lot. The monthly surplus from Strand 05 pays it down whenever the deal calendar is quiet, and draws it again on the day a deal closes. A line that behaves that way never needs to grow.

What stands, and what is proposed

What stands: the benchmark, the published rates, and the fall table. What is proposed: the depth, the tranches, and the choice of lender, which wait on the custodian's written quote, the basis report, and Keaton's word.

What would show this wrong

Two consecutive calendar years in which the shares return less than the loan's rate while the line is still drawn. That is the signal to retire the line from income rather than to argue with it.

Written together by Keaton and Kyri.